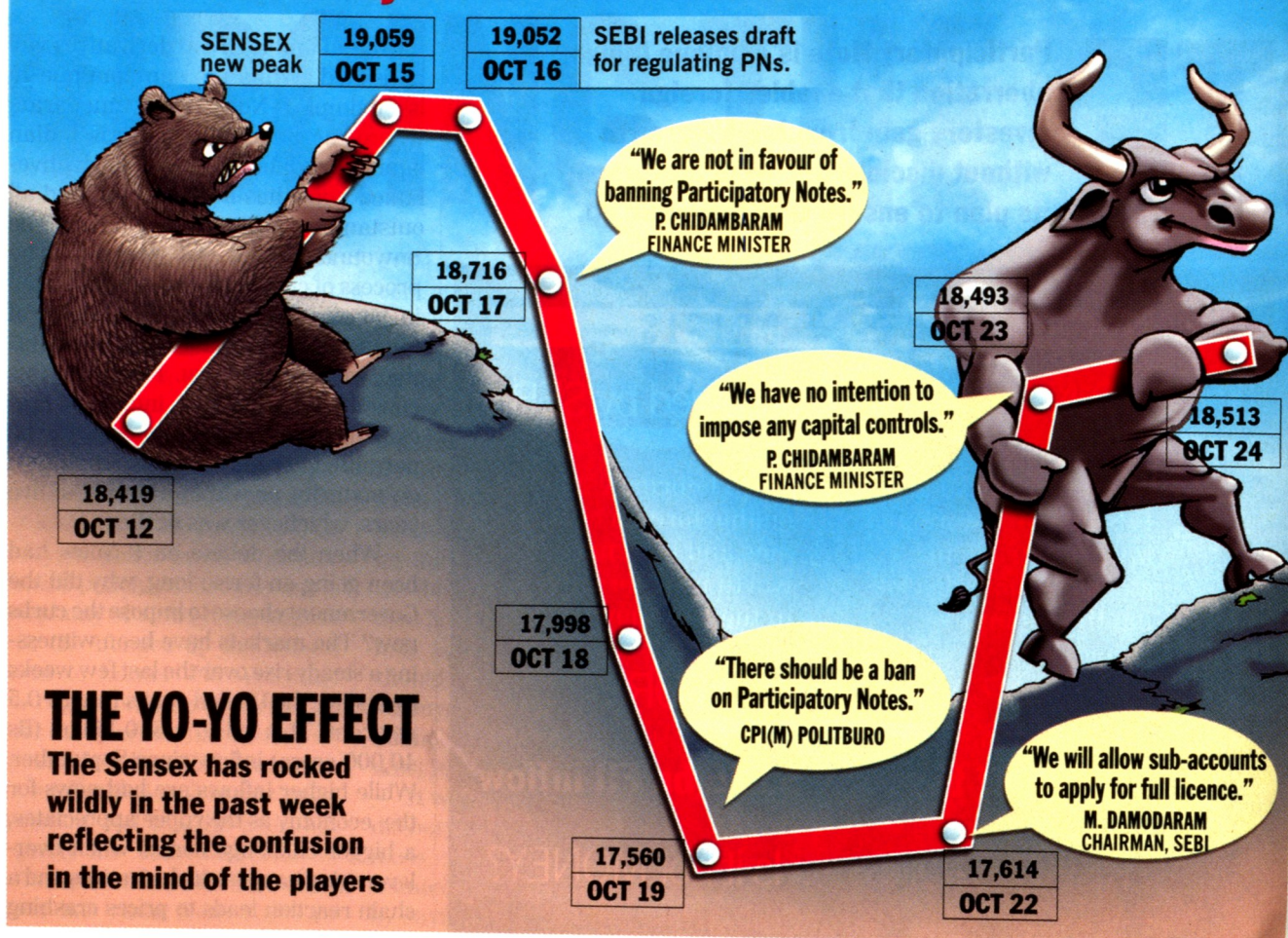




tough on the issue, the Finance Minister softened the blow after a market shut down by saying: "We are not in favour of banning P-Notes. We have simply placed a cap on the proportion of money coming through the route vis-à-vis the overall assets."

The biggest reason why the regulator is uncomfortable is because these instruments are not only heavily traded in but also because FNs and their sub-accounts issue securities based on the notional value of P-Notes. In a chain of investors, even if one investor goes bust, he starts selling the securities, of which the underlying asset is the derivative. And since FNs follow a herd mentality, this is likely to trigger a massive selloff in the derivatives market resulting in falling valuations in the cash market. Since a large chunk of domestic investment is in cash market, regulators cannot afford to jeopardise it.

This is not all. Considering that P-Notes are traded all the time, it's tough for regulators to find out the source of money—whether it is coming from terror outfits, Indian promoters or other unregulated entities. For this reason, it

has become essential to clean the system and bring in foreign investors through the front door.

When FNs were first allowed by SEBI in 1992, the presumption was that all investments would be proprietary in nature. Over time it was evident that FNs were not just investing their own money but also investing on behalf of third-parties, for whom they were creating sub-accounts. Each sub-account is a separate registered entity. Some of these third-party investors would only want their monies invested in a certain category of Indian stocks, which is why FNs would have several sub-accounts. These sub-accounts would issue P-Notes to their investors and the instruments would be traded.

Damodaran has both logic and the recommendations of three committees backing his move. Explaining the threat by P-Notes, the Ashok Lahiri Report, which was submitted to the Government in 2005 had stated that trading of P-Notes would lead to multi-layering, which would make it difficult to identify the ul-

timat holder. "Both conceptually and in practice, restriction on suspicious flows enhances the reputation of markets and leads to healthy flows." In 2006, the Tarapore Committee on Capital Account Convertibility had also strongly recommended against allowing P-Notes. The report which was submitted in July 2006, states: "It is also not possible to prevent trading in P-Notes as the entities subscribing to them cannot be restrained from issuing securities on their strength. Existing P-Note-holders may be provided an exit route and phased out completely within one year."

Sure the short-term view of the market must be daunting for any regulator. But the gyrations of the market cannot be a reason to put off what needs to be done. If this phantom is not reined in now, it will grow to threaten the market. What may be required is tact and sequencing in the management of this change. Damodaran has time on his side. After all, as they say, corrections are good for all bull rallies and what better time than now to make that critical correction. ■